

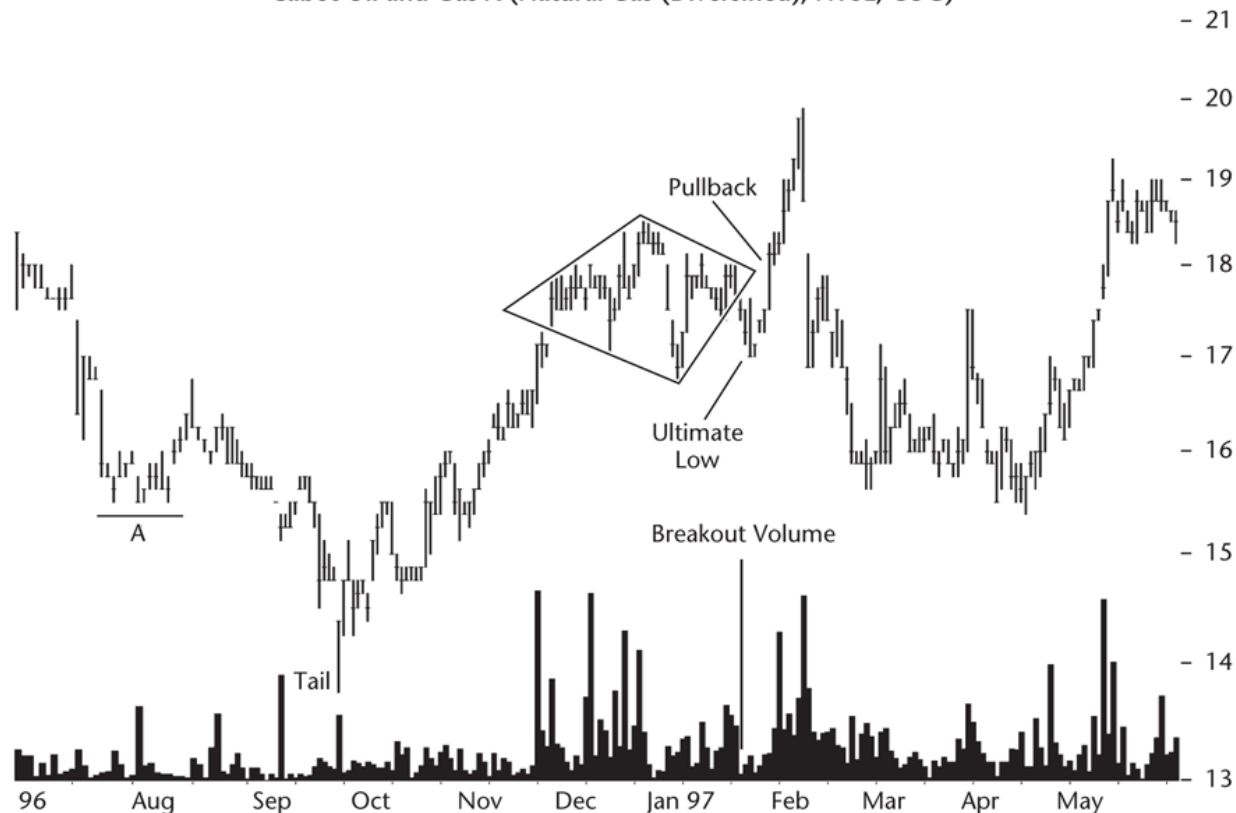


Figure 24.5 A valid diamond top breaks out downward, but price fails to descend far because of underlying support.

Is low breakout volume the reason why price failed to descend far (just 3%)? Maybe. A high volume breakout would have given more confidence to a bearish situation and perhaps prevented a pullback. I have noticed that high-volume downward breakouts pull back less often than do low-volume ones. This makes intuitive sense, as a high-volume descent tends to push price down farther than a low-volume one.

Perhaps the key to this failure is like many others: Support below the pattern stops the decline. On the weekly chart (not shown), support appears in February and August 1996, and May 1995, all with price peaking near 17. Coupled with a bullish general market, the rising tide lifted all boats and prevented this one from sinking.

Based on this chart, if this were my trade, I would have seen the support in July (point A) as a warning sign. That would be my guess as to how far price would drop. Indeed, price does stop at that level in April, but that is well after the pattern fails.